

1. Understanding Debt-to-Income

DTI ratio measures total monthly EMI obligations against gross monthly income. Lenders cap DTI at 40% to 50% for responsible lending.

2. Emergency Fund & Planning

Borrowers should maintain 6 months of living expenses in liquid funds before taking long-term debt.

3. Snowball vs Avalanche Method

Avalanche method pays highest interest loans first; Snowball pays smallest balance first for psychological momentum.